T1		• Financial statements for decision making • The accounting equation • Analysing transactions	**Chapter 1 & Chapter 2:** First hour activity: DQ 1.6,1.7, 1.13, DQ 2.10, 2.11, Ex 2.4, Ex 2.11 Second hour activity: P 2.21, P 2.23 **Worksheets/templates available on Moodle site.** **Not all questions can be done within available time.**

DQ 1.6. Users of accounting information can be identified as internal and external users. List examples of users in each category and the type of information they require.

Firstly, distinguish internal and external users.

The following are examples of internal users and the type of information they require:

- Section/line managers need to know the impact of increasing or decreasing selling price on profitability.
- Chief Executive Officers and directors need accounting information to make a decision of whether it would be beneficial for the company to acquire another company.
- General managers of divisions need to know if their divisions should make new products.
- Account managers require information about how much the company owes suppliers.
- Production supervisors need to know the most efficient production process to be implemented.

External users are often classified as being resource providers, recipients of goods and services, and reviewers and overseers. The following are examples of external users, who mainly receive general purpose financial statements which are commonly available to the general public on an entity's website, and the type of information they require:

- Shareholders want to know the return on their investments.
- Long-term lenders need to know if the company will be able to repay the money lent to it.
- Potential investors want to know if they should invest in the company.
- Suppliers require information to find out if the company will be able to pay outstanding bills.
- Employees want to know if the company is still able to pay their wages.
- Customers want to know if the company uses locally-grown products in their production to support local economy.
- Government e.g. for tax reasons needs to know if the company complies with tax regulations by paying the right amount of tax.

What about other interest groups? e.g. RSPCA, Greenpeace, World Vision, Unions, Chambers of Commerce, Community interest groups, The Australian Securities Exchange (ASX). Are they entitled to receive financial reports?

DQ 1.7. 'Cloud accounting is good for business'. Describe cloud accounting and why it is good for business..

Cloud accounting is the on-demand delivery of computing services—including servers, storage, databases, networking, software, analytics, and intelligence—over the internet ('the cloud'). Operating in the cloud, an accounting business does not need physical data centres and servers. Rather, technology services such as computing power, storage and databases can be accessed from a cloud provider for a user fee. This offers faster innovation, flexible resources, and economies of scale. It also enables access to data and files from anywhere (virtual offices) and avoids upfront investment in physical technology and a technology support team. A critical decision is the selection of a cloud provider and ensuring the provider is reputable, well-funded and has appropriate security measures.

Reference: https://www.zdnet.com/article/what-is-cloud-computing-everything-you-need-to-know-about-the-cloud/

DQ 1.13. 'Accounting is all about numbers.' Evaluate.

Although it is a common perception that accounting is all about numbers, the field of accounting encompasses broader issues than merely numbers. Accounting is defined as the process of identifying, measuring, recording and communicating economic information to assist users of the information in making informed economic decisions. The ambit of the accounting is also extending to incorporate non-financial, as well as, financial information.

Based on the definition above, there are four elements of accounting associated with providing information that is useful for decision-making. Identification involves selecting economic events that are relevant to a particular entity. Even though the economic events eventually need to be expressed in measuring unit (numbers), the identification process itself requires knowledge about the entity and its operations rather than just looking at the numbers.

After the identification of the transaction, accounting information must be expressed in a common denominator so that the effects of transactions can be combined. This is where measurement takes place. It is true that measuring economic events mostly involves numbers; however, it also requires knowledge of various measurement techniques, relies on judgments and assumptions, and involves knowledge of relevant accounting standards.

Economic events or transactions that have been identified and measured are then maintained systematically through recording process. In order to be useful in making decisions, recorded data must be classified and summarised.

Finally, classified and summarised accounting data need to be communicated to the potential users of the information. The communication process consists of placing accounting information into financial reports and preparing interpretive disclosures necessary to make the date understandable. For accountants to be able to help users of the reports to make economic decisions effectively, the accountants who prepare the reports must have a full appreciation of who the users are and their needs for accounting information.

In conclusion, it is a misunderstanding that accounting is all about numbers. Many people with limited knowledge of accounting tend to view accounting as limited to recording numbers and do not comprehend the whole processes involved in accounting as described above, which requires extensive training, business experience and professional judgment rather than merely calculating numbers.

DQ 2.10. Discuss the significance of the following assumptions in the preparation of an entity's financial statements:

(a) Entity assumption
(b) Accrual basis assumption
(c) Going concern assumption
(d) Reporting period

(a) Entity assumption:
If the transactions of an entity are to be recorded, classified and summarised into financial statements, the accountant must be able to identify clearly the boundaries of the entity being accounted for. Under the accounting entity assumption, the entity is considered a separate entity distinguishable from its owner and from all other entities. It is assumed that each entity controls its assets and incurs its liabilities. The records of assets, liabilities and business activities of the entity are kept completely separate from those of the owner of the entity as well as from those of other entities. The accounting entity assumption is important since it leads to the derivation of the accounting equation.

(b) The accrual basis assumption:
Under the accrual basis of accounting, the effects of transactions and events are recognised in accounting records when they occur, and not when the cash is received or paid. Hence, financial statements report not only on cash transactions but also on obligations to pay cash in the future and on resources that represent receivables of cash in future. It is argued in the Conceptual Framework that accounting on an accrual basis provides significantly better information about the transactions and other events for the purpose of decision making by users of financial statements than does the cash basis.

(c) The going concern assumption:
According to the Conceptual Framework, financial statements are prepared on the assumption that the existing entity is expected to continue operating into the future. It is assumed that the assets of the entity will not be sold off and that the entity will continue its activities; hence, liquidation values (prices in a forced sale) of the entity's assets are not generally reported in financial statements, as this assumes that an entity is to be wound up.

When management plans the sale or liquidation of the entity, the going concern assumption is then set aside and the financial statements are prepared on the basis of estimated sales or liquidation values. The significance of the going concern assumption is in the valuation placed on the assets of an entity in the entity's financial statements. The statements should identify clearly the basis upon which asset values are determined — going concern? Or liquidation?

(d) The reporting period assumption:
For financial reporting purposes, it is assumed that the total life of an entity can be divided into equal time intervals. Hence, the financial performance of the entity can be determined for a given time period, and the financial position of the entity can be determined on the last day of that reporting period.

As a result of this assumption, profit determination involves a process of recognising the income for a period and deducting the expenses incurred for that same period. Together, the period assumption and accrual basis assumption lead to the requirement for making end-of-period adjustments on the last day of the reporting period. These adjustments will be considered in chapter 4.

DQ 2.11. List and define the fundamental and enhancing characteristics of financial information.

The two fundamental characteristics of financial information are:

- Relevance: relevance means that the information contained in financial statements is able to influence the economic decisions made by users. For example, the information may help users to predict future events, such as future cash flows, from alternative courses of action under consideration. Also, information is relevant if it is able to help decision makers evaluate past decisions. The information may confirm that a previous decision was correct, or it could show that the results of a previous decision were undesirable and that a new decision is necessary. Thus, relevant information is said to play a predictive role and a confirmatory or feedback role.
- Faithful representation: faithful representation is attained when the depiction of an economic event is complete (i.e. all information necessary to represent the event are included), neutral (i.e. free from bias), and accurate (i.e. free from material error). In addition, financial information that faithfully represents an economic phenomenon should depict the economic substance of the underlying transaction, event or circumstances, rather than its legal form.

The four enhancing characteristics of financial information are:

- Comparability: comparability is the quality of information that enables users to identify similarities in and differences between two sets of economic data. For financial information to be comparable, users need to be able to compare information of an entity over time, and between entities at one time and over time.
- Verifiability: if financial information is verifiable, it means that different independent observers would reach general agreement that the information represents economic event it purports to represent without material error or bias.
- Timeliness: to be relevant for decision-making, financial information must be available in a timely manner. If there is undue delay in reporting the information to users, then the information will lose its capacity to influence decisions (i.e. no longer relevant).
- Understandability: the Conceptual Framework defines understandability as the quality of information that enables users who have a reasonable knowledge of business and economic activities and financial accounting, and who study the information with reasonable diligence, to comprehend its meaning.

Exercise 2.4 Determining profit from equity balances LO5

Equity balances for Sen Widyaya appearing in the statement of financial positions of Widyaya's Window Washing Services as at 30 June 2024, 2023 and 2022 are set out below.

	30 June 2024	30 June 2023	30 June 2022
EQUITY			
Sen Widyaya, capital	$27 300	$30 000	$28 000

During 2022–2023, Sen withdrew $15 000 for personal use and also contributed additional capital of $10 000. During 2023–2024, he withdrew $15 000 cash for his own use in anticipation of profits.

Required
(a) Determine the profit/loss earned by the business in each of the 2 years ended 30 June 2023 and 30 June 2024.

(a)

WIDYAYA'S WINDOW WASHING SERVICES

Profit for years ended 30 June	2024	2023
Beginning Capital	$30 000	$28 000
+ Additional Capital Contributions	—	10 000
– Withdrawals of Capital	—	—
– Drawings	(15 000)	(15 000)
Profit	12 300	7 000
Ending Capital	$27 300	$30 000

Exercise 2.11
Non-GST version

Recording transactions **LO3, 5**

Trans Phone Repairs began operations on 1 December 2024 and completed the following transactions during the first month.

1. Jeremy Tran deposited $15 000 of his personal funds in a current account at a bank opened in the name of the business.
2. Phone repair equipment was purchased at a cost of $2 000, all of which was paid in cash.
3. Jeremy collected $2000 from customers for repair services performed.
4. Shop rent was paid for the month of August, $1500.
5. Jeremy purchased $800 of iPhone and iPad accessories.
6. Wages of $500 were paid as well as an account for electricity, $250.
7. Jeremy paid for the accessories purchased in (5) above.

Required

(a) Prepare a schedule similar to that shown for Cynthia's Beauty Services for transactions 8, 9 and 10 earlier in this chapter. List the following assets, liabilities and equity as column headings: Cash at bank; Accessories; Equipment; Accounts payable; J. Tran, capital.

(b) Show the effects of each of the transactions on the accounts listed. Indicate totals after each transaction and complete the schedule as shown earlier in this chapter, for Cynthia's Beauty Services for transactions 8, 9 and 10.

(c) Prepare a statement of financial performance and a statement of changes in equity for the month ended 31 December 2024, and a statement of financial position as at 31 December 2024.

EX 2.11 (a) and (b)

	Assets					=	Liabilities			+	Equity
	Cash at Bank	+	Supplies	+	Equipment	=	Accounts Payable	+	Loan Payable	+	J.Tran, Capital
(1)	$15 000					=					$15 000
(2)	–2 000	+			$2 000						
	13 000	+			2 000	=					15 000
(3)	+ 2 000									+	2 000
	15 000	+			2 000	=					17 000
(4)	–1 500									–	1 500
	13 500	+			2 000	=					15 500
(5)		+	800				+800				
	13 500	+	800	+	2 000	=	800	+			15 500
(6)	– 750									–	750
	12 750	+	800	+	2 000	=	800	+			14 750
(7)	– 800						–800				
	11 950	+	800	+	2 000	=	0	+			14 750

(c)

TRAN'S PHONE REPAIRS
Statement of financial performance
for the month ended 31 December 2024

INCOME		
Services income		$2 000
EXPENSES		
Rent expense	$1 500	
Wages expense	500	
Electricity expense	250	
		2 250
PROFIT/(LOSS)		($250)

TRAN'S PHONE REPAIRS **Statement of changes in equity** **for the month ended 31 December 2024**	
J. Tran, Capital – 1 December 2024	$0
Add: Capital contribution	15 000
Loss for the month	250
	14 750
Less: Drawings during the month	0
J. Tran, Capital – 31 December 2024	$14 750

TRAN'S PHONE REPAIRS **Statement of financial position** **as at 31 December 2024**	
ASSETS	
Cash at bank	$11 950
Supplies	800
Equipment	2 000
TOTAL ASSETS	$14 750
LIABILITIES	
Accounts payable	$—
TOTAL LIABILITIES	—
NET ASSETS	**$14 750**
EQUITY	
J. Tran, Capital	$14 750
TOTAL EQUITY	**$14 750**

Problem 2.21

Correction of financial statements ⋆ ⋆ LO3, 4, 5

A new business graduate with one subject of accounting prepared the financial statements below for Amir's Delivery Service at the end of the first year of operations.

AMIR'S DELIVERY SERVICE **Statement of financial performance** for the year ended 30 June 2024		
Income		
Delivery fees		$ 287 500
Expenses		
Office rent expense	$ 45 000	
Wages expense	107 500	
Office expenses	40 500	
Electricity expense	16 875	
Amir, drawings	28 000	
Depreciation expense		
— vehicle	8 250	
— equipment	2 625	
		248 750
Profit		**$ 38 750**

AMIR'S DELIVERY SERVICE **Statement of financial position** as at 30 June 2024			
Assets		**Liabilities**	
Cash at bank	$ 31 500	Accounts payable	$ 32 500
Equipment	43 250	**Equity**	
Vehicle	52 500	Owner, capital	94 750
	$ 127 250		$ 127 250

Additional analysis revealed the following:

1. **Delivery fees of $19 375 (owed by clients) were unrecorded at 30 June.**
2. **Additional equipment of $6 875 purchased with a bank loan at the end of the month had not been recorded.**
3. **Office expenses included supplies on hand at 30 June costing $5750.**
4. **Wages of $3125 were payable at 30 June.**

Required

(a) Prepare a corrected statement of financial performance for the year ended 30 June 2024.
(b) Prepare a corrected statement of financial position in narrative form as at 30 June 2024.
(c) Prepare a statement of changes in equity for the year ended 30 June 2024.
(d) Discuss the accounting assumptions that Amir has breached.

(a)

AMIR'S DELIVERY SERVICE
Statement of financial performance
for the year ended 30 June 2024

Income		
Delivery fees		$ 306 875
Expenses		
Office rent expense	$ 45 000	
Wages expense	110 625	
Office expenses	34 750	
Electricity expense	16 875	
Depreciation expense		
— vehicle	8 250	
— equipment	2 625	
		218 125
Profit		**$ 88 750**

(b)

AMIR'S DELIVERY SERVICE
Statement of financial position
as at 30 June 2024

Assets		**Liabilities**	
Cash at bank	$ 31 500	Accounts payable	$ 35 625
Accounts Receivable	19 375	Loan	6 875
Supplies	5 750	**Equity**	
Equipment	50 125	Owner, capital	144 750
Vehicle	52 500	Less Drawings	28 000
	$ 159 250		$ 159 250

Reconciliation of original capital of $94 750 to $ 144 750 (higher by $50 000) is the difference in the profit recorded $38 750 and the revised profit $88 750. Further, the drawing have moved to the statement of financial position and reduce equity.

(c)

AMIR'S DELIVERY SERVICE **Statement of changes in equity** **for the year ended 30 June 2024**	
Amir, Capital – 1 July 2023*	84 000
Add: Profit for the year	88 750
	172 750
Less: Drawings during the year	28 000
Amir, Capital – 30 June 2024	144 750

*Beginning balance of capital is found by working backwards, namely, $144 750 + $28 000 – $88 750. This assumes that Amir did not make a capital contribution during the year.

(d) Amir mainly has breached the *accrual basis assumption*, which states that financial statements of an entity are assumed to be prepared using accrual basis. Under the accrual basis, income (expenses) is (are) recognised in the period when increases (decreases) in economic benefits occur, rather than when cash is received or paid.

The accrual basis assumption was breached as Jack initially:

- Did not record $19 375 delivery fees owed by customers as income for the year ended 30 June 2024. The delivery service was provided during that period, and therefore under the accrual basis the $19 375 tutoring fees were earned in that period even though the customers have not yet paid; the amount owing should be recorded as an asset on the statement of financial position.
- Did not record the $3125 wages owed to its employees as expenses for the year ended 30 June 2024. The employees have provided their services to the business during the period, and therefore under the accrual basis the $3125 wages payable was incurred in that period even though the employees have not yet been paid.
- Included $5750 unused supplies as expenses in the year ended 30 June 2024. Under the accrual basis, expenses are to be recognised when decreases in assets have occurred (i.e. when supplies are used), and therefore unused supplies should not be recognised as expenses. Instead, they should be recorded as assets on the statement of financial position.

Problem 2.23
Recording transactions and preparing financial statements ⋆ ⋆ LO3, 4, 5

Financial balances for the car hire business of Terry's Wedding Cars on 31 March 2024 are provided below in a table in accounting equation form similar to the chapter illustrations.

Assets									=	Liabilities	+			Equity
Cash at bank	+	Accounts receivable	+	Office equipment	+	Motor vehicles	+	Fuel supplies	=	Accounts payable	+	Loan payable	+	Terry,capital
$21 000	+	$12 000	+	$1 500	+	$108 000	+	0	=	$4 500	+	$32 000	+	$106 000

During April, the business entered into the following transactions.

1. Collected $10 000 of the accounts receivable.
2. Paid the accounts payable in full.
3. Purchased another vehicle for $56 000. Paid $16 000 in cash and signed a loan agreement for the balance.
4. Billed customers for services performed, $15 500.
5. Fuel purchased on credit, $4250.
6. Paid expenses in cash, $6700 (wages, $3600; car cleaning, $2050; advertising, $1050).
7. Terry withdrew $4000 for personal use.
8. Paid parking fines of $400.

Required

(a) List the 31 March balances for assets, liabilities and equity in table form as shown above.
(b) Record the effects of each transaction. Show the total of each column after recording each transaction.
(c) Prepare a statement of financial performance, a statement of changes in equity and a statement of cash flows for the month ended 30 April 2024, and a statement of financial position (account format) as at 30 April 2024.

(a) and (b)

	Assets									=	Liabilities			+	Equity
	Cash at bank	+	Accounts receivable	+	Fuel supplies	+	Office equipment	+	Motor vehicles	=	Accounts payable	+	Loans payable	+	John Limos, capital
	$21 000	+	$12 000	+	0	+	$1 500	+	$108 000	=	$4 500	+	$32 000	+	$106 000
(1)	+ 10 000		– 10 000												
	31 000	+	2 000	+	0	+	1 500	+	108 000	=	4 500	+	32 000	+	106 000
(2)	– 4 500										– 4 500				
	26 500	+	2 000	+	0	+	1 500	+	108 000	=	0	+	32 000	+	106 000
(3)	– 16 000								+56 000				+40 000		
	10 500	+	2 000	+	0	+	1 500	+	164 000	=	0	+	72 000	+	106 000
(4)			+15 500												+15 500
	10 500	+	17 500	+	0	+	1 500	+	164 000	=	0	+	72 000	+	121 500
(5)											+ 4 250				- 4 250
	10 500	+	17 500	+	0	+	1 500	+	164 000	=	4 250	+	72 000	+	117 250
(6)	– 6 700														– 6 700
	3 800	+	17 500	+	0	+	1 500	+	164 000	=	4 250	+	72 000	+	110 550
(7)	– 4 000														– 4 000
	-200	+	17 500	+	0	+	1 500	+	164 000	=	4 250	+	72 000	+	106 550
(8)	-400														– 400
	-600	+	17 500	+	0	+	1 500	+	164 000	=	4 250	+	72 000	+	106 150

(c)

TERRY'S WEDDING CARS Statement of financial performance for the month ended 30 April 2024		
INCOME		
Services income		$15 500
EXPENSES		
Fuel	$4 250	
Wages expense	3 600	
Car cleaning expense	2 050	
Advertising expense	1 050	
Parking fines expense	400	
		11 350
PROFIT		$4 150

TERRY'S WEDDING SERVICES Statement of changes in equity for the month ended 30 April 2024	
Terry, Capital – 1 April 2024	$106 000
Add: Profit for the month	4 150
	110 150
Less: Drawings during the month	4 000
Terry, Capital – 30 April 2024	$106 150

TERRY'S WEDDING CARS
Statement of cash flows
for the month ended 30 April 2024

CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	$10 000	
Cash paid to suppliers and employees (1)	(11 600)	
Net cash from operating activities		($1 600)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of vehicle	(16 000)	
Net cash used in investing activities		(16 000)
CASH FLOWS FROM FINANCING ACTIVITIES		
Drawings by owner	(4 000)	
Net cash used in financing activities		(4 000)
Net decrease in cash held		(21 600)
Cash at beginning of month		21 000
Cash at end of month		($600)

(1) Paid Accounts Payable $4500 + Cash Expenses $6700 + Parking fines $400 = $11 600

TERRY'S WEDDING CARS
Statement of financial position
as at 30 April 2024

ASSETS		LIABILITIES	
		Bank Overdraft	$ 600
Accounts receivable	17 500	Accounts payable	$4 250
		Loan payable	72 000
Office equipment	1 500	EQUITY	
Motor vehicles	164 000	Terry, capital	106 150
	$183 000		**$183 000**